(ii) Trade receivables turnover ratio

Trade receivables turnover ratio is the comparison of credit revenue from operations with average trade receivables during an accounting period. It gives the velocity of collection of cash from trade receivables. It is calculated as follows:

$$\text{Trade receivables turnover ratio} = \frac{\text{Credit revenue from operations}}{\text{Average trade receivables}}$$

$$\text{Average trade receivables} = \frac{\text{Opening trade receivables + Closing trade receivables}}{2}$$

Trade receivables = Trade debtors + Bills receivable

Credit revenue from operations (net credit sales) is taken for trade receivables turnover ratio as trade receivables arise only from credit sales. Greater the trade receivables turnover ratio, greater is the efficiency of management in collection of receivables.

Tutorial note

In the absence of opening trade receivables, closing trade receivables can be taken instead of average trade receivables to calculate the ratio.

Debt collection period

Debt collection period is the average time taken to collect the amount due from trade receivables. Lesser the debt collection period, greater is the efficiency of management in collection of cash from trade receivables. It is calculated as follows:

$$\text{Debt collection period (in days)} = \frac{\text{Number of days in a year}}{\text{Trade receivables turnover ratio}}$$

$$\text{Debt collection period (in months)} = \frac{\text{Number of months in a year}}{\text{Trade receivables turnover ratio}}$$

Illustration 9

The credit revenue from operations of Harini Ltd. amounted to ₹ 9,60,000. Its debtors and bills receivable at the end of the accounting period amounted to ₹ 1,00,000 and ₹ 60,000 respectively. Calculate trade receivable turnover ratio and also collection period in months.

Solution

$$\text{Trade receivables turnover ratio} = \frac{\text{Credit revenue from operations}}{\text{Average trade receivables}} = \frac{9,60,000}{1,60,000} = 6 \text{ times.}$$

Trade receivables = Debtors + Bills receivable = 1,00,000 + 60,000 = ₹ 1,60,000

Tutorial note

Closing trade receivables are taken instead of average trade receivables as the opening trade receivables are not given.

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